NORTH AMERICAN COMPANY FOR LIFE AND HEALTH INSURANCE

ACCELERATED DEATH BENEFIT ENDORSEMENT SUMMARY AND DISCLOSURE STATEMENT

There is no additional charge for the Accelerated Death Benefit Endorsement. However, there may be an administrative fee required each time an Election is made.

The accelerated death benefits may provide benefits to pay for long-term care services but are NOT part of a long-term care or nursing home insurance policy and the amount these products pay may not be enough to cover your medical, nursing home or other bills. Accelerated Death Benefit Payments used to pay for long-term care services are subject to limits imposed by the federal government and any amounts received in excess of these limits are includible in taxable income. You may use the money you receive as an accelerated death benefit for any purpose.

If you already have long-term care insurance, Medicaid, or similar coverage, you should consider whether the accelerated death benefits are suitable for your needs. Receipt of accelerated death benefits MAY AFFECT YOUR ELIGIBILITY FOR MEDICAID, SUPPLEMENTAL SECURITY INCOME ("SSI"), OR OTHER GOVERNMENT BENEFITS OR ENTITLEMENTS. Contact the Medicaid Unit of your local Department of Public Welfare and the Social Security Administration Office for more information.

YOU MAY USE THE MONEY YOU RECEIVE AS AN ACCELERATED DEATH BENEFIT FOR ANY PURPOSE. UNLIKE CONVENTIONAL LIFE INSURANCE PROCEEDS, AMOUNTS PAYABLE AS ACCELERATED DEATH BENEFITS COULD BE TAXABLE UNDER SOME CIRCUMSTANCES. WE RECOMMEND THAT YOU CONSULT YOUR PERSONAL TAX ADVISOR PRIOR TO ELECTING AN ACCELERATED DEATH BENEFIT UNDER THIS ENDORSEMENT TO ASSESS THE TAX TREATMENT IN YOUR INDIVIDUAL CIRCUMSTANCES. THE COMPANY SHALL ACT AS IT DETERMINES IS REQUIRED BY THE INTERNAL REVENUE CODE AND THE REGULATIONS IN REPORTING ANY AMOUNTS PROVIDED PURSUANT TO AN ELECTION UNDER THIS ENDORSEMENT.

PAYMENT OF ACCELERATED DEATH BENEFITS WILL REDUCE THE POLICY'S DEATH BENEFIT MONTHLY DEDUCTIONS, NONFORFEITURE VALUES OR POLICY VALUES, WHICH INCLUDE, BUT ARE NOT LIMITED TO, THE ACCOUNT VALUE, NET CASH SURRENDER VALUE, AND POLICY LOAN VALUE WILL BE REDUCED IN PROPORTION TO THE AMOUNT OF THE DEATH BENEFIT THAT IS ACCELERATED.

ACCELERATED DEATH BENEFITS ARE REDUCED BY A NUMBER OF FACTORS, INCLUDING BUT NOT LIMITED TO, THE IMPACT AN ILLNESS HAS ON THE INSURED'S FUTURE MORTALITY EXPECTATIONS HIS MAY RESULT IN A SMALL BENEFIT OR NO BENEFIT BEING PAID.

THE IMPACT OF ACCELERATED DEATH BENEFIT PAYMENTS

Upon instructions received by the Owner of the Policy, the company will pay an Accelerated Death Benefit as described below, subject to the limitations and requirements described in the Accelerated Death Benefit Endorsement. Any Irrevocable Beneficiary must consent before we make an Accelerated Death Benefit Payment. The Lifetime Maximum Accelerated Death Benefit that we will accelerate is described in the Endorsement.

ACCELERATED DEATH BENEFIT PAYMENT – The Accelerated Death Benefit Payment will be determined upon your Election. The following factors may be used in the determination of any potential payment:

(a) the Accelerated Death Benefit;
(b) the Account Value of the Policy,
(c) the Guaranteed Maximum Cost of Insurance Rates;
(d) our determination of the future expected lifetime of the Insured;
(e) the Accelerated Death Benefit Interest Rate in effect at time of Election;
(f) the Administrative Fee, if applicable;
(g) the Debt Repayment Amount; and
(h) any other factors we may determine in our sole discretion are reasonably necessary to determine the present value of the Accelerated Death Benefit, including, without limitation, application of the mortality discount based on future mortality expectations.

The factors listed above may reduce the amount of the Accelerated Death Benefit payable. Chronic Illnesses have little or no impact on the Insured's life expectancy, such that the application of the factor for mortality and reduced life expectancy could result in a small Accelerated Death Benefit Payment or no Accelerated Death Benefit Payment being paid even if a Qualifying Event has been established.

Proposed Insureds are subject to eligibility requirements to qualify for the Chronic Illness or Critical Illness Accelerated Death Benefit. Only the Terminal Illness Accelerated Death Benefit is available without eligibility requirements.
The minimum and maximum Accelerated Death Benefit amounts for Critical, Chronic or Terminal Illness on the Election Date are described in the Endorsement.

Accelerated Death Benefit for Terminal Illness: You may elect to receive advancement of the Death Benefit when the Insured has a Terminal Illness while the Endorsement is in effect.

An Insured qualifies as being Terminally Ill if the Insured has been certified through a certification by a Physician that the Insured has been diagnosed with a medical condition that results in a drastically limited life span. A drastically limited life span is a life span of 12 months or less.

The Accelerated Benefit Payment will be determined upon your Election and will be paid in a lump sum.

We will waive the Monthly Deductions following the Election of Accelerated Death Benefits for Terminal Illness. Upon Election, all Endorsements and Riders attached to the Policy will continue to be effective subject to the terms and conditions of each Endorsement or Rider.

After you receive Accelerated Death Benefits for Terminal Illness, you may elect to take withdrawals; increase or decrease the Specified Amount change the Death Benefit Option; and obtain Policy Loans as described in the Policy.

Only one Election can be made for Terminal Illness.

If the Insured dies after you elect to receive Accelerated Death Benefits, but before any Accelerated Death Benefit Payment is made, the Election will be cancelled and the Death Benefit will be paid as described in the Policy.

Accelerated Death Benefit for Chronic Illness (if available): You may elect to receive advancement of the Death Benefit when the Insured is Chronically Ill while the Endorsement is in effect.

An Insured qualifies as being Chronically Ill if the Insured has been certified through a certification by a Physician within the last 12 months as:
(a) being unable to perform, for at least 90 days without Substantial Assistance from another person, at least two Activities of Daily Living due to loss of functional capacity; or
(b) requiring Substantial Supervision for protection from threats to health and safety due to Severe Cognitive Impairment. Diagnosis of Severe Cognitive Impairment must be made by a licensed medical practitioner.

Activities of Daily Living are bathing, continence, dressing, eating, toileting, or transferring.

Severe Cognitive Impairment means a deficiency in a person's short-term or long-term memory, orientation to person, place or time, deductive or abstract reasoning, or judgment as it relates to safety awareness.
You can accelerate an amount less than the minimum Accelerated Death Benefit for Chronic Illness allowed if it is necessary to do so to comply with the Lifetime Maximum Accelerated Death Benefit limitation, or if you are making a Final Election.

A Final Election is available if the maximum Chronic Illness Accelerated Death Benefit at the time of Election is greater than the remaining Death Benefit in the Policy, minus the Residual Death Benefit. A Final Election occurs when you accelerate all the Death Benefit in the Policy, minus the Residual Death Benefit.

The Residual Death Benefit only applies to benefits for Chronic Illness.

We will waive the Monthly Deductions while a Chronic Illness Election is in effect if the Death Benefit immediately prior to the Initial Election Date does not exceed the Lifetime Maximum Accelerated Death Benefit If the Death Benefit immediately prior to the Initial Election Date exceeds the Lifetime Maximum Accelerated Death Benefit while an Election is in effect, the Monthly Deductions will be multiplied by the specified ratio, as described in the Endorsement. Monthly Deductions will stop being waived when an Election is no longer in effect.

While the Chronic Illness Election is in effect, you cannot take withdrawals; increase or decrease the Specified Amount or change the Death Benefit Option. After any Election, other than a Final Election, you may elect to obtain Policy Loans as described in the Policy.

After the Initial Election Date, no additional Endorsement or Riders may be added to the Policy. Upon any Election other than a Final Election, all Endorsements and Riders attached to the Policy will continue to be effective subject to the terms and conditions of each Endorsement or Rider. Upon a Final Election, all Endorsements and Riders, except the Accelerated Death Benefit Endorsement, the Guaranteed Insurability Rider, if any, will terminate on the Final Election date.

The Chronic Illness Election Period begins on the Election Date of a Chronic Illness and ends immediately prior to the Monthly Anniversary that occurs when the number of completed Policy Months as shown on the Policy Data Pages is completed.

If the Insured dies after you elect to receive Accelerated Death Benefits, but before the payment is made, the Election will be cancelled and the Death Benefit will be paid as described in the Policy. If a Final Election has occurred, the Residual Death Benefit will be paid to the Beneficiary in a lump sum upon due proof of death of the Insured.

Accelerated Death Benefit for Critical Illness (if available): You may elect to receive advancement of the Death Benefit when the Insured is Critically Ill while the Endorsement is in effect.

An Insured qualifies as being Critically Ill if the Insured has been certified through certification by a Physician as having incurred a Specified Medical Condition within the past 12 months. A Specified Medical Condition is defined as one of the following events:

(a) Amyotrophic Lateral Sclerosis (ALS) – means a definitive diagnosis of ALS made by a board-certified neurologist where neurological impairment is irreversible and will last indefinitely.

(b) Aortic Artery Dissection – means a definite diagnosis made by a physician due to traumatic injury or spontaneous dissection of the aorta. Treatment intervention may include stenting, graft patching, or similar surgical intervention. The term aorta is specific to the thoracic and abdominal aorta, excluding its branches.

(c) Aplastic Anemia – means a definite diagnosis made by a board-certified hematologist/oncologist of chronic persistent bone marrow failure, confirmed through bone marrow biopsy. This condition results in anemia, neutropenia, and thrombocytopenia, necessitating treatment with at least one of the following: marrow stimulating agents, immunosuppressive agents, or bone marrow transplantation.

(d) Cancer – means any malignant tumor or hematologic disease positively diagnosed with histological confirmation by a pathologist and/or oncologist and characterized by the uncontrolled growth of malignant cells and/or invasion of tissue. Malignancies include leukemia, lymphoma, and sarcoma.

No benefit will be payable under this condition for any of the following:
1) Carcinoma in situ;
2) Premalignant lesions, benign tumors, or dysplasia;
3) Any skin cancer unless classified as Malignant Melanoma Stage 2 or greater;
4) All tumors of the prostate unless histologically classified as having a Gleason score of 7 or greater, or having progressed to at least clinical Stage 2b;
5) Thyroid cancer unless classified as Stage 2 or greater;
6) Breast cancer unless classified as Stage 1B or greater; or
7) Bladder cancer unless classified as Stage 2 or greater.

(e) Cardiac Arrest – means the sudden cessation of cardiac activity made by a physician resulting in unresponsiveness, with no normal breathing and no signs of circulation. Following prompt treatment, there is a return to spontaneous circulation.

(f) Coma – means a state of unresponsiveness and unarousability marked by closed eyes and inability to interact with the environment, as defined by the American Academy of Neurology. This involves no signs of awareness of surroundings or self and has persisted for at least 96 hours. It results from a neurological deficit anticipated to continue for at least 12 months from the diagnosis, which must be confirmed by a board-certified neurologist.

(g) Kidney Failure – means chronic and end stage renal failure (failure of both kidneys to function effectively) diagnosed and managed by a board-certified nephrologist, and regular dialysis is necessary.

(h) Major Organ Transplant – means receiving a transplant of bone marrow or a complete heart, kidney, liver, lung, small intestine, or pancreas, or inclusion on the United Network of Organ Sharing (UNOS) waiting list. Transplant of any other organs, parts of organs, tissues or cells is not covered.

(i) Motor Neuron Disease – means a definite diagnosis by a board-certified neurologist restricted to one of the following conditions: primary lateral sclerosis; progressive spinal muscular atrophy; progressive bulbar palsy; or pseudo bulbar palsy. The diagnosis must include evidence of permanent clinical impairment, indicating that the clinical specialist has determined the impairment is irreversible and permanent.

(j) Myocardial Infarction (Heart Attack) – means a definitive diagnosis by a physician of an acute inadequate blood supply to the heart that has resulted in evidence of myocardial infarction (MI) based on clinical presentation, electrocardiographic changes consistent with an evolving MI; and/or serial measurement of cardiac biomarkers with levels considered diagnostic of a MI.

No benefit will be payable under this condition for any of the following:
1) Established (old) myocardial infarction;
2) Chronic stable angina;
3) Elevated biochemical cardiac markers as a result of intra-arterial cardiac procedures including, but not limited to, coronary angiography and coronary angioplasty, in the absence of new Q waves; or
4) ECG changes suggesting a prior myocardial infarction, which do not meet the definition of MI described above.

(k) Paralysis – means the complete and permanent loss of use of two or more limbs through neurological injury or disease for a continuous period of at least 90 days. Paralysis must be confirmed by a board-neurologist.

(l) Persistent Vegetative State – means a significant brain injury associated with a chronic medical condition, characterized by some evidence of consciousness but no awareness of surroundings and no purposeful movement or interaction with the environment. It is defined as a persistent vegetative state if it persists for at least four weeks with a low likelihood of significant future improvement in neurological function. The diagnosis must be made by a board-certified neurologist.

(m) Severe burn – means the definite diagnosis of third-degree burns covering at least 30% of the body surface. Diagnosis must be confirmed by a plastic surgeon, critical care physician, or other physician specializing in the treatment of burns.

(n) Stroke (cerebrovascular accident) - means a definite diagnosis of an acute cerebrovascular event caused by intra-cranial thrombosis, hemorrhage, or embolism with acute onset of new neurological symptoms and new objective neurological deficits on clinical examination, persisting for at least 96 hours following the date of diagnosis. These new symptoms and deficits must be corroborated by diagnostic imaging and physical exam findings.

No benefit will be payable under this condition for any of the following:
1) Transient ischemic attacks;
2) Brain damage due to an accident or injury, infection, vasculitis, and inflammatory disease;
3) Vascular disease affecting the eye or optic nerve;
4) Ischemic disorders of the vestibular system;
5) Chronic Cerebrovascular insufficiency; or
6) Incidental findings on imaging studies including lacunar infarcts not meeting the definition of stroke as outlined above.

The Accelerated Benefit Payment will be determined as of each Election Date and will be paid in a lump sum. On the Election Date, the Accelerated Death Benefit Payment and the Policy Debt will be reduced by the Debt Repayment Amount.

After each Election Date, Monthly Deductions will remain the same as described in the Policy and be based on the reduced Specified Amount.

While the Critical Illness Election is in effect, you cannot take withdrawals; increase or decrease the Specified Amount or change the Death Benefit Option. After any Election you may elect to obtain Policy Loans as described in the Policy.

Upon any Election all Endorsements and Riders attached to the Policy will continue to be effective subject to the terms and conditions of each Endorsement or Rider. After the Initial Election Date, additional Endorsement and Riders may be added to the Policy.

Election of Accelerated Death Benefits for Critical Illness is required within 12 months of incurred date. Only one Election can be made for each occurrence of a Specified Medical Condition.

If the Insured dies after you elect to receive Accelerated Death Benefits, but before the payment is made, the Election will be cancelled and the Death Benefit will be paid as described in the Policy.

I understand and acknowledge: (1) Receipt of such benefits may affect eligibility for public assistance programs and benefits may be taxable; (2) Payment of this benefit will reduce the Insured's death benefit; (3) There is no additional charge for this benefit; and (4) The agent provided the Accelerated Death Benefit Summary and Disclosure Statement with the application.

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Signature of Owner Date

The Owner was provided the Accelerated Benefit Summary and Disclosure Statement with the application.

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Signature of Agent Date

Sample Illustration of the impact of Accelerated Death Benefits

	Terminal Illness	Critical Illness	Chronic Illness
Accelerated Death Benefit	$375,000	$50,000	$120,000
Lump Sum Accelerated Death Benefit Payment	$338,374	$18,000	$82,498
Administrative Fee	$100	N/A	$100

Values Before Accelerated Death Benefit	Terminal Illness	Critical Illness	Chronic Illness
Death Benefit	$500,000	$500,000	$500,000
Death Benefit Proceeds	$480,000	$480,000	$480,000
Account Value	$100,000	$100,000	$100,000
Net Cash Surrender Value	$80,000	$80,000	$80,000
Cost of Insurance	$300	$300	$300
Outstanding Policy Debt	$20,000	$20,000	$20,000
Residual Death Benefit:	N/A	N/A	$25,000

Values After Accelerated Death Benefit	Terminal Illness	Critical Illness	Chronic Illness
Death Benefit	$125,000	$450,000	$380,000
Death Benefit Proceeds	$120,000	$432,000	$364,800
Account Value	$25,000	$90,000	$76,000
Net Cash Surrender Value	$20,000	$72,000	$60,800
Cost of Insurance	$0	$270	$0
Outstanding Policy Debt	$5,000	$18,000	$15,200
Residual Death Benefit	N/A	N/A	$25,000